

Wealth Strategy Snapshot

Educational Analysis — 2026 Tax Year Planning

Prepared for Pamela Buder | March 2026

Educational scenario modeling for discussion with licensed professionals.

This document does not constitute investment, tax, or legal advice.

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. As a W-2 professional in a no-income-tax state with moderate risk tolerance, strong household income, and interest in building retirement wealth, this snapshot models several strategies to explore—including retirement account maximization, Augusta Rule income, and an illustrative investment scenario incorporating Bitcoin, STRC, and broad market ETFs. A potential W-2-to-1099 transition is also addressed, as this would significantly expand available tax optimization strategies.

This snapshot incorporates 2026 IRS limits per Rev. Proc. 2025-32 and provisions of the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, including permanently restored 100% bonus depreciation, expanded Section 179 (\$2.5M), and the new non-itemizer charitable deduction.

Based on the strategies modeled, this snapshot illustrates potential first-year value ranging from **\$75,003** (conservative scenario) to **\$386,697** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Conservative Scenario

\$75,003

Aggressive Scenario

\$386,697

Current Financial Position

Personal & Income

Name	Pamela Buder
Age	52
Filing Status	Married Filing Jointly
Location	Lakeland, TN (0% state income tax)
Household Income	\$200,000–\$299,000
W-2 Income	\$150,000–\$199,000
Dependents	1 child (college upcoming)
Marginal Rate	~24% federal + 0% TN = 24%

Assets & Obligations

Liquid Capital	\$250,000–\$499,000
Comfortable Deploying	\$10,000–\$25,000
Net Worth	\$250,000–\$499,000
Monthly Savings	\$5,000
Emergency Fund	2–3 months
Debt	\$5,000–\$19,000
Credit Score	720–759
Home Equity	\$25,000–\$100,000

Current Retirement & Tax Posture

Employer 401(k)	Maxing at \$23,500 (2025 base limit); employer match active
HSA	Currently maxing out

Roth / Backdoor Roth	Aware of concept; not currently utilizing
Self-Employment	No current SE income; interested in consulting side business
Business Entity	No business entity yet
Tax Preparation	Self-filing (no CPA relationship)
Home Office	Dedicated room used exclusively for business
Time Available	10–15 hours/week for wealth-building activities
Risk Tolerance	Moderate (balanced growth and stability)
Implementation	Immediate (0–30 days)

⚠ **SECURE 2.0 Notice:** With W-2 income likely exceeding \$150,000 in FICA wages for 2025, your 2026 catch-up contributions at your current employer must be designated as Roth (not pre-tax). Discuss this with HR and your CPA before adjusting deferrals.

⚠ **1099 Transition Note:** A potential switch from W-2 to 1099 would unlock Solo 401(k), LLC formation, full business deductions, and S-Corp election strategies. If this materializes, a revised snapshot may be warranted. Key considerations for that scenario are noted throughout this document.

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

WEEK 1

2025 Backdoor Roth IRA: Both spouses may contribute up to \$8,000 each for 2025 before April 15 deadline. Discuss eligibility with CPA.

HSA 2025 Top-Off: If HDHP was in place during 2025, verify if additional contributions can be made before April 15. 2025 family limit: \$8,550.

WEEK 2

401(k) Catch-Up: Contact HR to increase 2026 deferral to \$32,500 (\$24,500 base + \$8,000 Roth catch-up per SECURE 2.0). Discuss Roth designation requirement.

CPA Engagement: Consider retaining a CPA for 2025 filing and 2026 planning given strategy complexity.

WEEK 3

Consulting LLC Consideration: If pursuing side consulting, discuss single-member LLC formation with an attorney. This unlocks Augusta Rule, home office, and business deductions.

Investment Scenario Review: Meet with a licensed financial advisor to discuss portfolio concepts modeled in this snapshot.

WEEK 4

529 Plan Research: Explore TN-friendly 529 options for son's upcoming college expenses. Tax-free growth applies federally.

If 1099 Transition Likely: Solo 401(k) must be established by Dec 31, 2026 for employee deferrals—begin planning timeline with CPA.

2025 Tax Year: Remaining Opportunities

2025 Strategies Still Available (Before April 15, 2026)

The following 2025 contributions can still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Backdoor Roth IRA (both spouses)	\$7,000 + \$1,000 catch-up = \$8,000 each	April 15, 2026	Up to \$16,000 total for 2025; tax-free growth
HSA Contributions (family)	\$8,550 family (no catch-up; under 55)	April 15, 2026	Verify if additional room exists beyond 2025 payroll contributions
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Only if consulting business was active and plan existed in 2025
SEP IRA	25% of comp, up to \$69,000	Tax filing + extensions	Only if SE income existed in 2025

No Longer Available for 2025: Employee 401(k) deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

HIGH PRIORITY

Strategy Concept: 401(k) Catch-Up Maximization

Potential Value: \$240 tax savings + \$8,000 Roth-sheltered

What It Is: Increasing your 2026 401(k) deferral from the 2025 base of \$23,500 to the 2026 maximum of \$32,500 (\$24,500 base + \$8,000 catch-up). At age 52, you fall in the standard catch-up bracket. At 24% marginal rate, the \$1,000 increase in base deferral models \$240 in immediate pre-tax savings. The \$8,000 catch-up grows tax-free as Roth.

How It Works:

1. Contact HR to update 2026 deferral election to \$32,500 total
2. Designate the \$8,000 catch-up as Roth (required under SECURE 2.0 for high earners)
3. Monitor pay stubs to confirm correct withholding and Roth designation

Eligibility Criteria: Age 50+ by end of 2026; employer plan permits catch-up contributions; FICA wages >\$150K in 2025 triggers mandatory Roth catch-up

Verify catch-up eligibility and Roth designation requirements with your HR department and CPA. 2026 limits shown.

HIGH PRIORITY

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Value: \$17,200/year sheltered in tax-free growth

What It Is: A legal method allowing high-income earners to fund Roth IRAs regardless of income limits. Each spouse contributes \$7,500 + \$1,100 catch-up (age 50+) = \$8,600 to a Traditional IRA, then converts to Roth. Total: \$17,200/year in tax-free growth for your household.

How It Works:

1. Open Traditional and Roth IRAs for each spouse at a custodian (Fidelity, Schwab, Vanguard)
2. Contribute \$8,600 per spouse to Traditional IRA (non-deductible)
3. Convert to Roth IRA promptly; report on Form 8606 at tax time

Eligibility Criteria: No existing pre-tax IRA balances (or willing to roll into employer plan); earned income at least equal to contribution amount for each spouse

The pro-rata rule may apply if pre-tax IRA balances exist. Verify with your CPA before executing conversions. 2026 limits shown.

HIGH PRIORITY

Strategy Concept: HSA Maximization (Family Coverage)

Potential Value: \$2,100 in tax savings

What It Is: The Health Savings Account offers a unique triple tax advantage: contributions are pre-tax, growth is tax-free, and qualified medical withdrawals are tax-free. The 2026 family limit is \$8,750. At 24% marginal rate, full contributions model \$2,100 in potential tax savings. At age 52, no catch-up is available (begins at 55).

How It Works:

1. Confirm enrollment in a High Deductible Health Plan (HDHP) for 2026
2. Maximize contributions to \$8,750 through payroll or direct contribution
3. Consider investing HSA funds for long-term growth rather than using for current expenses

Eligibility Criteria: Must be enrolled in a qualifying HDHP; cannot be enrolled in Medicare or claimed as a dependent

Payroll HSA contributions also avoid FICA tax (additional ~7.65% savings). Verify HDHP qualification with your benefits administrator. 2026 limits shown.

HIGH PRIORITY

Strategy Concept: Consulting Side Business Formation (LLC)

Potential Value: \$1,800–\$2,712 in deductions

What It Is: Establishing a single-member LLC for consulting income unlocks multiple business deductions and serves as the foundation for Augusta Rule, home office deduction, and (if income grows) Solo 401(k) and potential S-Corp election. This is also the critical preparatory step if a W-2-to-1099 transition occurs.

How It Works:

1. Discuss LLC formation with a business attorney; Tennessee requires registration with the Secretary of State
2. Obtain an EIN from the IRS and open a dedicated business bank account
3. Begin documenting business activities, expenses, and revenue from day one

Eligibility Criteria: Must have a bona fide business purpose and intent to generate income; consulting in your professional field qualifies if pursued in good faith

An LLC with no revenue in its first year can still deduct legitimate startup costs. Discuss timing and structure with your CPA and attorney. If 1099 transition occurs, this entity may serve as the operating vehicle.

MEDIUM PRIORITY

Strategy Concept: Augusta Rule (Section 280A)

Potential Value: \$6,000–\$9,800 tax-free income

What It Is: Section 280A allows a homeowner to rent their personal residence to their own business for up to 14 days per year. The rental income is tax-free to the homeowner and deductible to the business. At fair market rates of \$500–\$700/day, this models \$6,000–\$9,800 in tax-free income annually.

How It Works:

1. Requires an active business entity (LLC) that holds legitimate business meetings or events at the residence
2. Obtain a comparable rental analysis (Airbnb, VRBO, or appraisal) documenting fair market daily rate
3. Document each rental day with meeting agendas, minutes, attendee logs, and lease agreement

Eligibility Criteria: Must own the home; must have a legitimate business entity; rentals must be for bona fide business purposes; maximum 14 days per year

Documentation is critical for audit defense. The IRS scrutinizes Augusta Rule claims without proper substantiation. Verify implementation with your CPA. 2026 tax year.

MEDIUM PRIORITY

Strategy Concept: Home Office Deduction

Potential Value: \$360 in tax savings

What It Is: A deduction for the portion of your home used exclusively and regularly as your principal place of business. Simplified method: \$5/sq ft up to 300 sq ft = \$1,500 maximum deduction. At 24% marginal rate, this models \$360 in potential tax savings. Requires self-employment or business income.

How It Works:

1. Designate a room used exclusively for business (you indicated a dedicated room exists)
2. Choose simplified method (\$1,500 deduction) or actual method (proportional share of housing costs)
3. Report on Schedule C (or via LLC) when filing your tax return

Eligibility Criteria: Must have self-employment/business income; space must be used regularly and exclusively for business; W-2 employees generally cannot claim (post-2017 TCJA)

This deduction becomes available once consulting business generates income. Verify eligibility with your CPA.

Strategy Concept: Non-Itemizer Charitable Deduction

Potential Value: \$480 in tax savings

What It Is: Beginning in 2026, the One Big Beautiful Bill Act (OBBBA) allows taxpayers who take the standard deduction to also deduct cash charitable contributions up to \$1,000 (single) or \$2,000 (married filing jointly). At 24% marginal rate, this models \$480 in potential tax savings for qualifying cash donations. This is a new provision that was not previously available.

How It Works:

1. Make cash charitable contributions to qualifying 501(c)(3) organizations during 2026
2. Retain donation receipts and acknowledgment letters for all contributions
3. Claim the deduction on your 2026 tax return in addition to the standard deduction

Eligibility Criteria: Must file using the standard deduction; contributions must be cash (not property); donations must be to qualifying charitable organizations; maximum \$2,000 for MFJ filers

This is a new OBBBA provision effective for 2026. Verify implementation details with your CPA. Keep all donation documentation.

Strategy Concept: Short-Term Rental + Cost Segregation

Potential Value: \$0 (conservative) – \$30,000 (aggressive)

What It Is: Acquiring a short-term rental property and performing a cost segregation study to accelerate depreciation deductions into Year 1. Under the OBBBA (signed July 4, 2025), 100% bonus depreciation has been permanently restored for qualified property acquired and placed in service after January 19, 2025. A cost segregation study reclassifies building components into shorter depreciation lives (5, 7, 15 years), and those reclassified components can now be fully expensed in Year 1 at 100%.

How It Works (Cost Seg Methodology):

1. Identify and acquire a short-term rental property (\$350K–\$400K range modeled)
2. Determine depreciable basis: \$375,000 purchase price – \$75,000 land (20%) = \$300,000 building basis
3. Cost segregation study reclassifies 25–40% of building basis to shorter-lived property
4. At 40% reclassification: $\$120,000 \times 100\%$ bonus depreciation (OBBBA) = \$120,000 Year 1
5. Remaining building: $\$180,000 / 27.5$ years = \$6,545 first-year straight-line
6. Total Year 1 depreciation: $\sim \$126,545 \times 24\% = \sim \$30,000$ in modeled tax savings

Eligibility Criteria: Average guest stay ≤ 7 days for non-passive treatment; material participation requirements must be met; sufficient capital for 20% down payment ($\sim \$75,000$); property must be acquired after January 19, 2025 for 100% bonus depreciation under OBBBA

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional and real estate attorney to ensure compliance. Cost segregation study costs typically \$3,000–\$7,000. Property acquired on or before January 19, 2025 remains subject to TCJA phase-down rates.

AWARENESS

Strategy Concept: 529 Education Savings

Tax-free growth on contributions

What It Is: A tax-advantaged savings plan for education expenses. While Tennessee does not offer a state income tax deduction for 529 contributions, earnings grow federally tax-free when used for qualified education expenses. With a son approaching college age, this vehicle may help manage education costs.

How It Works:

1. Research 529 plans (Tennessee's TNStars plan or out-of-state options with lower fees)
2. Contributions are made with after-tax dollars; growth and qualified withdrawals are tax-free
3. Can be used for tuition, room & board, books, and supplies at eligible institutions

Eligibility Criteria: No income limits; any U.S. resident can open; beneficiary must be a student at an eligible institution for tax-free withdrawals

Given proximity to college enrollment, evaluate whether 529 or direct payment is more advantageous. SECURE 2.0 now allows unused 529 funds to be rolled into a Roth IRA (up to \$35,000 lifetime, subject to conditions). Discuss with your financial advisor.

OBBBA Update — Child Tax Credit: The maximum Child Tax Credit has increased to \$2,200 per qualifying child for 2026 (up from \$2,000), with \$1,700 refundable. This is now indexed for inflation going forward. With one qualifying dependent, verify eligibility with your CPA.

Primary Strategy Education: Preparing for Wealth Acceleration

Concept A: The W-2 to 1099 Transition — What Changes

You indicated a potential job switch that could change your income from W-2 to 1099 contractor status. This is one of the most significant tax-planning inflection points available. Here is an educational overview of what changes and why it matters:

Area	W-2 Employee (Current)	1099 Contractor (Potential)
Tax Deductions	Limited to above-the-line items (401k, HSA, IRA)	Full Schedule C business deductions: home office, vehicle (72.5¢/mile), equipment, travel, meals, professional development, insurance
Retirement	Employer 401(k) only (\$32,500 with catch-up)	Solo 401(k): up to \$72,000+ total (employee + 25% employer); full control over timing
Entity Structure	N/A	LLC → potential S-Corp election to reduce self-employment tax on income above reasonable salary
Self-Employment Tax	Employer pays half of FICA	Pay full 15.3% SE tax (though deductible); S-Corp election can reduce this significantly
Augusta Rule	Requires separate business	Built into your consulting entity
QBI Deduction	N/A	Potential 20% deduction on qualified business income (made permanent by OBBBA; subject to income limits and service business rules)

Key Consideration: If the 1099 transition happens mid-year, strategies like Solo 401(k) can still be established by December 31, 2026 for that year's employee deferrals. The employer portion deadline extends to tax filing. Discuss timing with your CPA immediately if this transition materializes.

Concept B: Retirement Account Stacking (Current W-2 Scenario)

Even without the 1099 transition, your household can stack multiple retirement vehicles in 2026:

Account	2026 Contribution	Tax Treatment	Notes
W-2 401(k) (base)	\$24,500	Pre-tax	Increase from \$23,500
401(k) Catch-Up	\$8,000	Roth (SECURE 2.0)	Mandatory Roth for high earners

HSA (family)	\$8,750	Pre-tax + tax-free growth	Triple tax advantage
Backdoor Roth (Pamela)	\$8,600	Tax-free growth	\$7,500 + \$1,100 catch-up
Backdoor Roth (Spouse)	\$8,600	Tax-free growth	\$7,500 + \$1,100 catch-up
Total Sheltered	\$58,450	Positioned in tax-advantaged accounts annually	

Contribution limits and eligibility requirements should be verified with your tax professional. Limits shown are for 2026. Spousal IRA requires sufficient earned income between both spouses to cover contributions.

Illustrative Portfolio Scenario

EDUCATIONAL INVESTMENT SCENARIO (BASED ON PROFILE ANALYSIS)

Profile drivers: Moderate risk tolerance → 50–70% Bitcoin range. Retirement income and wealth-building goals → meaningful STRC allocation for passive income. 10–15 hours/week available → active strategies viable. Capital: conservative deployment of \$17,500 (midpoint of \$10K–\$25K comfortable deployment) vs. aggressive deployment of \$375,000 (midpoint of \$250K–\$499K liquid capital).

Asset Class	Scenario %	Conservative (\$17,500)	Aggressive (\$375,000)	Educational Rationale
Bitcoin	55%	\$9,625	\$206,250	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Moderate-profile allocation.
STRC	25%	\$4,375	\$93,750	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Addresses retirement income goal.
VTI / VOO	20%	\$3,500	\$75,000	VTI offers broad U.S. market exposure at low cost (0.03% ER). VOO tracks the S&P 500. Provides equity diversification and stability within the scenario.

This scenario models one approach based on the moderate, retirement-income-focused profile indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Verify current STRC yield at time of investment; historical yields are not guaranteed. Past performance does not guarantee future results.

Modeled First-Year Value Summary (2026 Tax Year)

Capital Deployment: Conservative scenario uses \$17,500 (midpoint of \$10K–\$25K comfortable deployment). Aggressive scenario uses \$375,000 (midpoint of \$250K–\$499K liquid capital). All values are modeled estimates for educational purposes.

Category	Item	Conservative	Aggressive	Assumptions
CATEGORY A: TAX OPTIMIZATION				
Tax	401(k) Pre-Tax Increase	\$240	\$240	\$1,000 new pre-tax × 24%
Tax	HSA Maximization	\$2,100	\$2,100	\$8,750 × 24%
Tax	Augusta Rule	\$1,440	\$2,352	\$500/day×12 – \$700/day×14 × 24%
Tax	Home Office Deduction	\$360	\$360	\$1,500 simplified × 24%
Tax	Non-Itemizer Charitable (OBBBA)	\$480	\$480	\$2,000 MFJ × 24%
Tax	STR + Cost Segregation	\$0	\$30,000	~\$127K accelerated depr. × 24% (100% bonus dep under OBBBA)
Tax Optimization Subtotal		\$4,620	\$35,532	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield	\$438	\$11,250	\$4,375×10% / \$93,750×12%
Income	ETF Dividends (VTI/VOO)	\$53	\$1,500	\$3,500×1.5% / \$75,000×2%
Investment Income Subtotal		\$491	\$12,750	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (25% / 50%)	\$2,406	\$103,125	\$9,625×25% / \$206,250×50%
Growth	STRC (15% / 30%)	\$656	\$28,125	\$4,375×15% / \$93,750×30%
Growth	VTI/VOO (8% / 12%)	\$280	\$9,000	\$3,500×8% / \$75,000×12%
Appreciation Subtotal		\$3,342	\$140,250	
CATEGORY D: REAL ESTATE (AGGRESSIVE SCENARIO ONLY)				

RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (~4.5%)	\$0	\$16,875	4.5% on \$375,000 property
RE	Mortgage Principal Paydown (Yr 1)	\$0	\$4,500	Equity build through amortization
Real Estate Subtotal		\$0	\$51,375	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization	\$2,100	\$2,100	HSA payroll adjustment = ~\$175/mo
Cash Flow	Debt Interest Savings	\$0	\$1,440	~\$12K debt × est. 12% rate
Cash Flow Subtotal		\$2,100	\$3,540	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	401(k) Contributions (2026)	\$32,500	\$32,500	\$24,500 + \$8,000 Roth catch-up
Wealth	HSA Contributions (2026)	\$8,750	\$8,750	Family maximum
Wealth	Backdoor Roth IRA (both spouses)	\$17,200	\$17,200	\$8,600 × 2 spouses
Wealth	Augusta Rule Income Received	\$6,000	\$9,800	Tax-free under 14-day rule
Wealth	RE Equity Position (down payment)	\$0	\$75,000	20% down on \$375K property
Wealth Building Subtotal		\$64,450	\$143,250	
TOTAL MODELED FIRST-YEAR VALUE (2026)		\$75,003	\$386,697	

Subtotal Verification:

Conservative: \$4,620 + \$491 + \$3,342 + \$0 + \$2,100 + \$64,450 = **\$75,003**

Aggressive: \$35,532 + \$12,750 + \$140,250 + \$51,375 + \$3,540 + \$143,250 = **\$386,697**

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed—past performance does not guarantee future results. All investments carry risk

including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions (100% bonus depreciation for property acquired after Jan 19, 2025). Verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

Date	Item	Notes
April 15, 2026	Last day for 2025 IRA / HSA contributions	Backdoor Roth for 2025: up to \$16,000 (both spouses)
April 15, 2026	2025 tax return due (or file extension)	Extension pushes to Oct 15; estimated taxes still due
April 15 / Oct 15, 2026	Extended 2025 return due	Solo 401(k) employer portion / SEP IRA deadline if extension filed
Dec 31, 2026	Solo 401(k) establishment deadline	Must be set up by this date for 2026 employee deferrals
Dec 31, 2026	2026 401(k) employee contribution deadline	Verify catch-up Roth designation with HR
Dec 31, 2026	Augusta Rule rental days must occur by this date	Document all rental days with meeting minutes and lease
April 15, 2027	Last day for 2026 IRA / HSA contributions	Backdoor Roth for 2026: up to \$17,200 (both spouses)

Verify all deadlines with your tax professional. Deadlines may shift if they fall on weekends or holidays.

Questions for Your Professional Team

Questions for Your CPA

Tax Planning: "Based on my age (52) and income, what are my maximum 2026 retirement contributions across 401(k), HSA, and Roth IRA?"

SECURE 2.0: "My W-2 income exceeds \$150K. Do my 2026 catch-up contributions need to be designated as Roth? How do I coordinate this with HR?"

2025 Cleanup: "Can I still make Backdoor Roth IRA contributions for 2025 before April 15? Do I have any pre-tax IRA balances that would trigger the pro-rata rule?"

Business Formation: "If I start a consulting business, what entity structure makes sense? If I transition to 1099, should I elect S-Corp status for SE tax savings?"

Augusta Rule: "What documentation do I need to substantiate Augusta Rule rental days? How do I determine fair market rate for my home?"

OBBBA Provisions: "How does the new non-itemizer charitable deduction work for 2026? Can I claim both the standard deduction and \$2,000 in charitable deductions?"

Questions for Your Financial Advisor

Investment Strategy: "Given my moderate risk tolerance and retirement timeline, how should I think about Bitcoin allocation? What percentage feels appropriate for my goals?"

Retirement Planning: "Am I on track for retirement given our current savings rate? How does adding \$58,450/year in retirement contributions change the trajectory?"

Education Planning: "With our son approaching college, should we prioritize 529 contributions, direct savings, or a different approach?"

Questions for Your Attorney

Entity Structure: "What are the liability and tax implications of a single-member LLC in Tennessee for a consulting practice?"

1099 Transition: "If I move from W-2 to 1099, what contract provisions should I negotiate? Are there non-compete or IP considerations?"

Professional Team Considerations

You indicated you currently self-file taxes and do not have a CPA. Given the complexity of the strategies outlined, engaging a professional team may be valuable. Here are the roles commonly involved:

Professional	Role in Your Strategy	When to Engage
CPA / Tax Strategist	Tax return preparation; verify strategy eligibility; coordinate 401(k) catch-up Roth designation; Augusta Rule documentation review; 1099 transition planning; OBBBA provision verification	Immediately—before April 15 for 2025 opportunities
Business Attorney	LLC formation; operating agreement; entity structure for consulting; 1099 contract review	When consulting business or 1099 transition is pursued
Licensed Financial Advisor	Investment implementation; portfolio construction; retirement projections; risk assessment; 529 planning	Before deploying capital into investment scenarios
Real Estate Agent / Attorney	Property acquisition; market analysis; STR feasibility	If aggressive scenario (real estate) is pursued

All professionals should be properly licensed and experienced with the specific strategies discussed. Interview multiple candidates and verify credentials.

Milestone Considerations (2026)

Timeframe	Milestone	Status Indicator
Q1 2026 (Now)	2025 Backdoor Roth contributions completed for both spouses	Before April 15
Q1 2026	2026 401(k) deferral updated to \$32,500 with Roth catch-up	Contact HR
Q1 2026	CPA engaged for 2025 filing and 2026 planning	Interview & retain
Q2 2026	2026 Backdoor Roth IRA initiated for both spouses	Open accounts if needed
Q2 2026	Consulting LLC formed (if pursuing side business)	Attorney coordination
Q3 2026	Investment scenario reviewed with licensed financial advisor	Before capital deployment
Q3 2026	Augusta Rule documentation prepared (if LLC active)	Rate analysis + lease
Q4 2026	Solo 401(k) established if 1099 transition occurred	Before Dec 31
Q4 2026	Year-end tax projection with CPA	Optimize remaining decisions
Q1 2027	2026 IRA/HSA contributions finalized	Before April 15, 2027

These milestones are provided for planning awareness. Actual timing should be coordinated with your professional team based on your specific circumstances.

Educational Resources

2026 Contribution Limits Reference

Account Type	Base Limit	Catch-Up (50+)	Super Catch-Up (60-63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A
SEP IRA	25% of comp, up to \$72,000	N/A	N/A
Section 179 Expensing (OBBBA)	\$2,500,000	Phase-out at \$4,000,000	

Business mileage rate for 2026: 72.5¢/mile. Standard deduction (MFJ): \$32,200.

Key IRS Publications

Publication	Topic
IRS Publication 560	Retirement Plans for Small Business (Solo 401k, SEP)
IRS Publication 969	Health Savings Accounts (HSA)
IRS Publication 587	Business Use of Your Home
IRS Publication 463	Travel, Gift, and Car Expenses
IRS Publication 946	How to Depreciate Property (Cost Segregation)
IRS Publication 925	Passive Activity and At-Risk Rules
IRS Publication 590-A/B	Contributions to / Distributions from IRAs

Key OBBBA Provisions Affecting This Snapshot

Provision	Detail
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100% Bonus Depreciation	Permanently restored for property acquired & placed in service after Jan 19, 2025
Section 179 Expansion	Maximum increased to \$2,500,000; phase-out at \$4,000,000
Non-Itemizer Charitable Deduction	\$1,000 single / \$2,000 MFJ for cash donations starting 2026
Child Tax Credit	Increased to \$2,200 per child; now inflation-indexed
SALT Cap	Increased from \$10,000 to \$40,000 (less relevant in TN)
TCJA Rates Made Permanent	7-bracket structure (10%–37%) and 20% QBI deduction are now permanent

For educational reference only. Verify all limits at [IRS.gov](https://www.irs.gov) or with your tax professional. Tax laws change regularly.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

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